

Shareef Ahmad v. State of U.P. & 3 Others

Allahabad High Court · Division Bench · 18 January 2021 · Writ - C No. 26825 of 2020 · **Writ petition disposed of without deciding merits; petitioner to file a representation within three weeks for a reasoned speaking order on final assessment after hearing, preferably within four weeks of receipt; no coercive action on the citation dated 18.11.2020 for six weeks or until that decision, whichever is earlier; no benefit if the representation is not filed**

HEADNOTE

Failure to object to a provisional assessment, including silence after the time allowed for reply, does not convert that provisional figure into a final assessment. Applying Shishir Jain, the Division Bench held that the consumer cannot be compelled to deposit the provisionally assessed amount unless a final assessment is made after an opportunity of hearing and a copy of that order is supplied. Treating the provisional amount as final without a hearing is dehors Section 126 of the Electricity Act, 2003 and Clause 8.1 of the U.P. Electricity Supply Code, 2005 — Clause 8.1 being the theft procedure of inspection, provisional assessment, hearing and final assessment — and violates natural justice. Without entering the merits, the Court directed a representation within three weeks for a speaking final assessment after hearing, stayed coercive action on the 18 November 2020 recovery citation for six weeks or until that decision, and withheld the benefit of the order if the representation is not filed. The citation was not quashed.

FACTUAL SUMMARY

Shareef Ahmad filed Writ-C No. 26825 of 2020 in the Allahabad High Court against the State of U.P. and three others, seeking to quash a recovery citation dated 18 November 2020 issued by respondent no. 4 for Rs. 1,94,392. He said he held a valid electricity connection and paid bills regularly. On 11 September 2019 a checking authority inspected his premises and reported theft of electricity. An FIR was lodged on 25 September 2019 under Section 135 of the Electricity Act, 2003. A provisional assessment notice dated 31 October 2019 under Section 126 was sent by registered post; he filed no objection. He contended that no final assessment was thereafter served and that he was given no hearing before recovery.

Counsel for the Power Corporation (respondent nos. 2 and 3) could not show that if a person fails to reply to a provisional assessment within 15 days, that provisional assessment is treated as the final assessment. Naheed Ara Moonis and Dinesh Pathak, JJ. disposed of the writ on 18 January 2021.

REUSABLE CONSTRUCTIONS

1. Failure to object to a provisional assessment, including silence after the period allowed for reply, does not convert that provisional assessment into a final assessment. ¶ 5,7
2. A consumer cannot be compelled to deposit a provisionally assessed amount unless a final assessment is made after an opportunity of hearing and a copy of that order is supplied. ¶ 6-7
3. Treating the amount in a provisional theft assessment as the final assessment without a hearing is dehors Section 126 of the Electricity Act, 2003 and Clause 8.1 of the Supply Code, 2005, and violates natural justice. ¶ 7
4. Clause 8.1 of the Supply Code, 2005 is the procedure for inspection, provisional assessment, hearing and final assessment in a case of theft of electricity. ¶ 7

HOLDING-UNITS

INTERPLAY · UP-2005::8.1

theft assessment — silence on the provisional notice does not make it final; hearing and a served final order are required before recovery

QUESTION

May a licensee recover a theft demand by treating a provisional assessment as final because the consumer did not object within 15 days, without a hearing and without supplying a copy of a final order?

HOLDING

No. The Power Corporation could not show that failure to reply within 15 days converts the provisional assessment into a final one. The Court was not convinced that absence of objection has that effect. Clause 8.1, read with Section 126, requires inspection, provisional assessment, hearing and a final assessment in theft cases. Treating the provisional amount as the final assessment without a hearing, and compelling deposit without supplying a copy of the final order, is *dehors* those provisions and violates natural justice. Applying *Shishir Jain* paragraph 16, the petitioner could not be compelled to deposit on the provisional figure. Without deciding merits, he was directed to file a representation within three weeks for a reasoned speaking final assessment after hearing, preferably within four weeks of receipt. Coercive action on the 18.11.2020 citation is stayed for six weeks or until that decision, whichever is earlier; if he does not file the representation, he gets no benefit of the order. ¶ 5-10

QUALIFIER

The 18.11.2020 citation was not quashed. Petitioner invoked Section 126(3) and Clause 8.1; the Court's holding is framed as Section 126 and Clause 8.1.

FLAG Unnumbered 18.1.2021 order; paras are sequential blocks after the cause-title (1 heard; 2 reliefs; 3 inspection 11.09.2019, FIR 25.09.2019 s.135, provisional 31.10.2019 s.126 by registered post, no objection, citation 18.11.2020 for Rs. 1,94,392; 4 no hearing, s.126(3) and Clause 8.1, *Shishir Jain*; 5 licensee could not show 15-day silence deems the provisional final; Court not convinced; 6 *Shishir Jain* para 16 quoted; 7 procedure *dehors* s.126 and Clause 8.1, Clause 8.1 described as the theft path, treating provisional as final without hearing violates natural justice; 8 representation directed without entering merits; 9 stay of recovery; 10 no benefit if representation not filed). FIR under s.135; assessment notice under s.126; Court applied both s.126 and Clause 8.1 without electing between unauthorised use and theft. Catalog hits on Clauses 4.3, 4.35–4.39 and 8.14 are false positives.

HOLDING-UNIT · EA2003::126

no compulsion to deposit a provisional Section 126 assessment until a final assessment after hearing

QUESTION

Does want of an objection within 15 days of a Section 126 provisional assessment authorise recovery of that figure as a concluded final assessment?

HOLDING

No. Licensee's counsel could not show that failure to reply within 15 days treats the provisional assessment as final. Following *Shishir Jain* paragraph 16, without a final assessment after considering the objection and giving an opportunity of hearing, and without supplying a copy of that order, the consumer cannot be compelled to deposit the provisional amount. The procedure adopted was held *dehors* Section 126. Recovery was not allowed to proceed as a concluded final assessment; it was stayed pending a speaking decision on a representation after hearing. ¶ 3-9

QUALIFIER

Petitioner invoked Section 126(3); the Court's own holding is framed as Section 126. The citation was not quashed.

PRINCIPLE TAGS

theft-assessment-provisional-proforma-issued-as-final The 31.10.2019 Section 126 provisional notice was treated as the concluded demand because the petitioner did not object. The Court rejected that deemed-final step and would not let the 18.11.2020 citation recover the provisional figure as a final assessment. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 5,7

no-recovery-without-final-assessment-clause-8.1(b) Applying *Shishir Jain* paragraph 16, the petitioner could not be compelled to deposit the provisional amount; coercive action on the 18.11.2020 citation was stayed pending a speaking final assessment after hearing. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 6-9

clause-8.1b-personal-hearing-mandatory-before-final-assessment Clause 8.1 was applied as the theft path requiring inspection, provisional assessment, hearing and final assessment; treating the provisional figure as final without

hearing was held to violate that procedure and natural justice. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.*. ¶ 7

final-assessment-order-mandatory-under-section-126-3 Following Shishir Jain paragraph 16, the Court held that without a final assessment after considering the objection and granting a hearing, the petitioner could not be compelled to deposit the provisional amount under Section 126. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.*. ¶ 4,6-7

opportunity-before-final-assessment The Court would not treat the unreplied 31.10.2019 provisional notice as final, or permit recovery on it, without an opportunity of hearing and supply of a copy of the final order. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.*. ¶ 5-7

assessment-demand-notices-relegated-to-representation-without-merits Without entering the merits, the Court did not quash the 18.11.2020 citation. It directed a representation within three weeks for a reasoned speaking order on final assessment after hearing. ¶ 8-10

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS OF THE THEFT ALLEGATION AND THE QUANTUM OF RS. 1,94,392

Expressly left undecided; a representation was directed for a reasoned speaking order after hearing. ¶ 8

NOT DECIDED — QUASHING OF THE RECOVERY CITATION DATED 18.11.2020

Sought as relief (i). The citation was not quashed; coercive action was stayed only for six weeks or until the representation is decided, whichever is earlier. ¶ 2,8-9

NOT DECIDED — WHETHER THE DEMAND WAS A SECTION 126 UNAUTHORISED-USE ASSESSMENT OR A CLAUSE 8.1 THEFT ASSESSMENT

The FIR was under Section 135; the provisional notice was under Section 126; the Court applied both Section 126 and Clause 8.1, identifying Clause 8.1 as the theft procedure, without electing between the two fields. ¶ 3-4,7

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd. and another</i> 2017 (3) AWC 3084 Allahabad High Court	If there is no final assessment, the consumer cannot be compelled to deposit the amount of the provisional assessment; without a final assessment after considering the objection and giving an opportunity of hearing, notices demanding that amount are unsustainable (para 16).		Court	Followed

SCJ-3225 · Shareef Ahmad v. State of U.P. & 3 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.